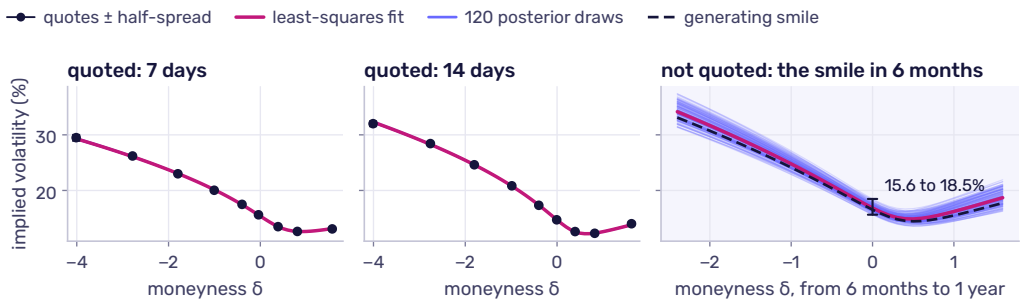

quotes ± half-spread
least-squares fit
120 posterior draws
generating smile
quoted: 7 days
quoted: 14 days
not quoted: the smile in 6 months
implied volatility (%)
30
20
−4
−2
0
moneyness δ
−4
−2
0
moneyness δ
15.6 to 18.5%
−2
−1
0
1
moneyness δ, from 6 months to 1 year